

FIRSTBANK DIGITAL FACTORY

Executive Recommendation: NovaLend Go/No-Go

To: Executive Sponsor, FirstBank Digital Factory
From: Marvelous Bolaji, Product Owner, NovaLend
Subject: Go/No-Go Decision for NovaLend CBN Deadline

1. The Recommendation: Launch with Severe Restrictions

I recommend that NovaLend launches a restricted MVP ahead of the 6-week CBN deadline. By deploying strict risk cutoffs and risk-tiered dynamic offers with bounded flexibility while explicitly avoiding heavy front-end payment friction, we satisfy regulatory demands, resolve the 14% default crisis, and keep the product viable.

2. Justification & Strategy: Solving the Dual Crisis

We are currently facing a 14% default rate against a mandatory 6% target, compounded by a 66.1% abandonment rate at the offer stage. Our strategy isolates and attacks both metrics independently:

- **Protecting the Portfolio (Risk Pillar):** We enforce a Risk-Tier Strict Cutoff, instantly halting lending to the highest-risk quartile. This artificially compresses defaults toward the 6% target without impacting the UX of good borrowers.
- **Maximizing Conversion (Product Pillar):** We deploy Risk-Tiered Post-Verification Pricing, replacing rigid 'all-or-nothing' flat terms with custom sliders and tenors. This directly removes the friction causing the 66.1% abandonment, winning back low-risk users.

3. What I Could Be Wrong About (Risks to this Approach)

- **The Default-Rate Bet:** Assuming defaults are heavily concentrated in the bottom quartile. If macroeconomic factors drive defaults evenly across all tiers, tightening cutoffs leaves a smaller, equally toxic portfolio.
- **The Conversion Bet:** Assuming dynamic sliders and risk-tiered pricing alone will reverse the 66.1% abandonment rate. If trust in the platform has eroded, volume could remain constrained regardless of flexibility.

4. Post-Launch Kill Criteria

To protect FirstBank capital, we must implement hard exit triggers. If, after 14 days of the restricted launch, early delinquency (missing the first payment by >5 days) on the new cohort remains above 15%, or if offer acceptance remains below 10%, I will immediately recommend a formal product pause. Triggering this criteria proves the underlying scoring model is fundamentally flawed and cannot be fixed by product-level flexibility alone.